Larkspur Industry Insights
Sector research for credit and investment teams

Australian Early Learning Sector Outlook

May 2026 outlook for private credit lenders

Prepared for Quillwood Credit Partners
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Document details

1. Summary and key findings

This outlook replaces our April 2024 publication. It sets out our view of demand, workforce funding, operator structure, asset values and transaction pricing in the Australian centre based early learning sector, and what those conditions mean for secured lenders. It is written for credit professionals at Quillwood Credit Partners and is intended to inform sector appetite, leverage settings and monitoring, not to recommend any individual transaction.

The sector is in better shape than it was two years ago, but the improvement is uneven. Occupancy has recovered to a level that supports sound earnings at the median centre, wage costs are now partly underwritten by government funding, and larger groups are acquiring smaller operators at firm multiples. At the same time, the earnings uplift depends on a funding mechanism that remains a policy decision, and local oversupply persists in several growth corridors.

- Average occupancy across approved centres is 79% as at March 2026, up from our April 2024 estimate of 77%.
- The Worker Retention Payment now funds a material part of educator wages. We estimate it is equivalent to about 4 percentage points of revenue for a median centre. Its continuation is the single largest policy dependency in the sector.
- Operator consolidation is continuing. Groups with more than 20 centres hold an estimated 35% of approved centres, up from 30% in 2024.
- The median centre value is A$4.9M. Values vary widely by tenure, location and licensed capacity, and freehold sites carry a property component that leasehold going concerns do not.
- Merger and acquisition multiples for groups with more than 20 centres range from 6.5x to 8x EBITDA. Smaller operators transact at lower multiples.
- Larkspur's base case is for stable to slightly improving occupancy over the next 24 months, with downside risk concentrated in new supply, regulatory cost and any change to wage funding.

2. Scope, basis and what has changed since April 2024

2.1 Scope and sources

The outlook covers approved centre based day care services for children aged up to school age. It excludes outside school hours care, family day care and standalone kindergarten programmes except where they are operated within a centre. Figures draw on the Larkspur operator survey (58 respondents, representing 1,310 centres), Larkspur's transaction database of 41 completed sale transactions since January 2024, and publicly available regulatory and government data. Where we have estimated a figure we say so. All forecasts are Larkspur's own and should not be read as guarantees of future outcomes.

2.2 Changes from the April 2024 outlook

- Average occupancy has risen by 2 percentage points from our April 2024 estimate of 77%.
- Government funding of educator wages, then a proposal, is now operating and is built into operator budgets.
- Consolidation has accelerated, with a wider set of buyers including regional groups and institutionally backed platforms.
- Pricing for scaled groups has firmed, while pricing for single centres has moved less.
- We have lowered our view of wage inflation as an independent risk, and raised our view of policy and regulatory risk.

3. Demand and occupancy

3.1 Occupancy trend

Average occupancy is 79% as at March 2026. Occupancy is measured as attended or booked places as a share of approved licensed places, averaged across the year to March. The recovery has been steady rather than sharp. It has been driven by growth in workforce participation among parents of young children, a higher share of children attending three or more days a week, and the slow absorption of places added in the 2021 to 2023 construction cycle.

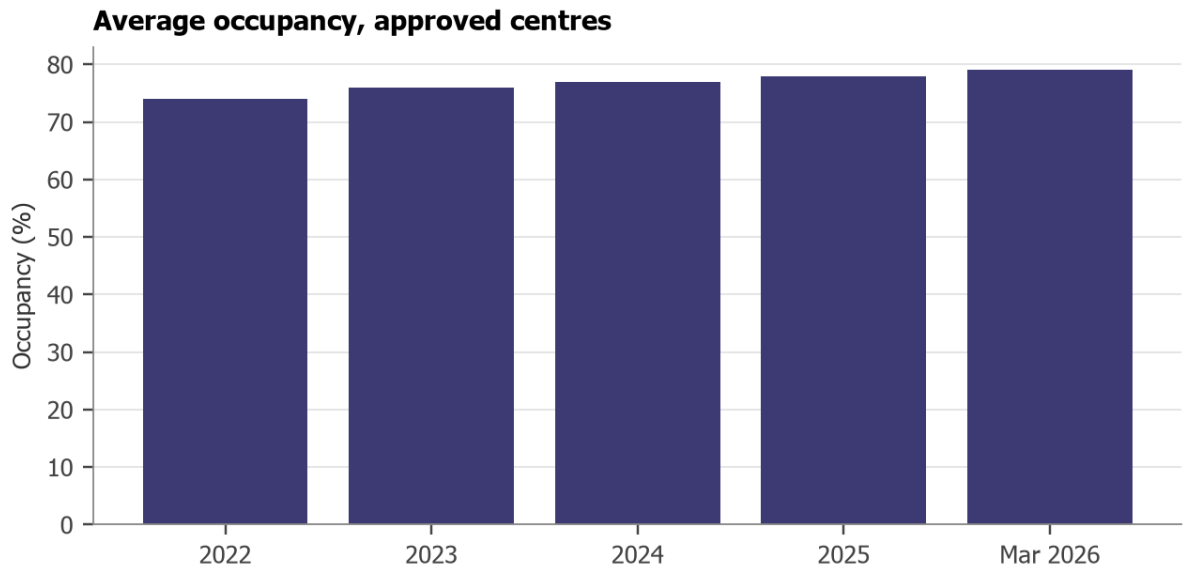


Figure 1: Average occupancy has improved by about 1 percentage point a year. Source: Larkspur operator survey and estimates.

3.2 Occupancy by region

Performance differs materially by state. Victoria and New South Wales are above the national average, supported by dense metropolitan catchments and stronger participation. Western Australia and Queensland are below it, reflecting recent additions to supply in outer growth areas. The weighted national figure of 79% masks centres below 65% occupancy, which are typically in newer suburbs with several competing services within a short drive.

Region	Share of centres	Occupancy
New South Wales	31%	80%
Victoria	26%	81%
Queensland	22%	77%
Western Australia	10%	75%
South Australia	6%	78%
Tas, ACT and NT	5%	79%
National (weighted)	**100%**	**79%**

Table 1: Occupancy by region, year to March 2026. Source: Larkspur estimates.

3.3 Why occupancy matters to earnings

Centre costs are largely fixed in the short term because staffing must meet regulated educator to child ratios and rent or debt service does not flex. Small movements in occupancy therefore have a disproportionate effect on earnings. Table 2 shows the sensitivity for an illustrative 90 place centre. It assumes an average fee of A$135 per child day, 250 operating days, fixed costs of A$1.45M a year and variable costs of A$29 per child day. These are Larkspur assumptions, not data for any one centre.

Occupancy	Revenue (A$000)	EBITDA (A$000)	EBITDA margin
72%	2,187	267	12.2%
75%	2,278	339	14.9%
79%	2,400	434	18.1%
83%	2,521	530	21.0%

Table 2: Occupancy sensitivity, illustrative 90 place centre. Source: Larkspur modelling.

A seven point fall in occupancy, from 79% to 72%, reduces EBITDA by about 38% in this example. For a lender, the practical point is that debt service cover on a single centre can erode quickly if enrolments weaken, and that occupancy should be monitored monthly, not quarterly.

4. Workforce and the Worker Retention Payment

4.1 How the payment works

The Worker Retention Payment is a government funding stream paid to participating providers to be applied to educator wages. Participation is conditional. Providers must direct the funding to wage increases for eligible staff and must limit growth in the fees they charge families. Operators that do not meet the conditions risk losing the funding.

For the median centre in our survey, educator wages are about 58% of revenue and total staff costs about 64%. We estimate that the funded wage uplift is equivalent to about 4 percentage points of revenue. It has therefore allowed operators to lift pay in a tight labour market without passing the whole cost on to families.

4.2 Credit implications

- Earnings quality. A material part of reported margin now depends on a payment that is set by government. We suggest lenders identify the funded amount separately in the borrower's financial model and test cover with and without it.
- Fee restraint. Conditions on fee growth cap the extent to which operators can recover cost inflation from families. Centres at high occupancy have more room to absorb this than centres at 70% or below.
- Retention and ratios. Better pay has reduced turnover in our survey, with average annual educator turnover falling from 31% to 24% since 2024. Vacancy driven room closures, which directly cut revenue, have fallen accordingly.
- Policy risk. If the payment were withdrawn or its conditions tightened without offsetting fee flexibility, we estimate the median centre's EBITDA margin would fall from about 18% to about 14%, which is similar to the effect of a four point fall in occupancy.

Larkspur's base case assumes the payment continues in its current form through the forecast period. We do not regard withdrawal as likely in that period, but we regard it as a credible stress case for any facility with tenor beyond two years.

5. Operator consolidation

5.1 Structure of the market

The sector remains fragmented, but the trend towards scale is clear. Compliance obligations, wage reporting, child safety requirements and the cost of recruiting and retaining educators all favour operators with central support functions. Smaller operators report that these overheads are the main reason they consider selling.

Operator size	Share 2024	Share 2026
Single centre	41%	37%
2 to 20 centres	29%	28%
21 to 50 centres	10%	12%
More than 50 centres	20%	23%
Total	**100%**	**100%**

Table 3: Share of approved centres by operator size. Source: Larkspur estimates.

5.2 Drivers

- Compliance and reporting costs that do not scale down with centre size.
- Succession, as founders of single centre and small group operators approach retirement.
- Access to capital for greenfield sites and refurbishments, which favours groups with established lender relationships.
- The ability of larger groups to centralise procurement, rostering, marketing and quality assurance.

5.3 Implications for lenders

Consolidation creates a steady pipeline of acquisition finance. It also raises integration risk. In our experience, acquired centres typically take 9 to 18 months to reach the occupancy and margin levels assumed in the purchase model, and groups that acquire quickly can see central costs and staff turnover rise before synergies are realised. Lenders should test acquisition models against a slower ramp than the sponsor's case.

6. Asset values and transaction pricing

6.1 Centre values

The median value of an approved centre in our dataset is A$4.9M. This is a going concern value and, for freehold sites, includes the property. Values range from under A$2M for small leasehold centres in regional areas to above A$12M for large, well located freehold centres with licensed capacity above 120 places. Valuers generally capitalise maintainable earnings for leasehold centres and adopt a combination of income capitalisation and a market rent approach for freehold sites. Lenders should obtain a valuation that separates the property from the operating business.

6.2 Merger and acquisition multiples

Groups with more than 20 centres have transacted at 6.5x to 8x EBITDA. The premium over smaller operators reflects diversification, central management and the ability to refinance in the bank and private credit markets. Pricing within the range depends on occupancy, tenure mix, the share of earnings that depends on funded wages, and quality ratings.

Operator size	EV to EBITDA	Deals since Jan 2024
1 to 5 centres	4.5x to 6.0x	17
6 to 20 centres	5.5x to 7.0x	14
More than 20 centres	6.5x to 8.0x	10
All transactions		**41**

Table 4: Transaction multiples by operator size. Source: Larkspur transaction database.

The multiple ranges overlap because quality of earnings, rather than size alone, drives pricing. A well run group of 15 centres with strong occupancy can transact above a poorly performing group of 25. We have not seen a material shift in multiples since the introduction of wage funding, but buyers now routinely adjust earnings to exclude any unsustainable component of funding.

6.3 Lending observations

The following are Larkspur's observations on market practice, not recommendations. Senior leverage for groups with more than 20 centres has typically been set at 3.0x to 3.5x EBITDA, with lower multiples for smaller groups. Freehold backed facilities have generally been structured with loan to value ratios of 55% to 65% of the independent property valuation. Lenders to leasehold operators are exposed principally to cash flow, and security over the business is worth materially less in a downside than the headline multiple suggests, since a distressed sale usually requires a licence transfer and regulator engagement.

7. Outlook

7.1 Scenarios

We set out three scenarios over the 24 months to May 2028. The base case is our central expectation. The downside is a plausible stress, not a worst case.

Scenario	Occupancy	Funding	Pricing, groups over 20
Base	79% to 80%	WRP continues	6.5x to 8x
Upside	81% to 82%	WRP continues	7.5x to 8.5x
Downside	74% to 76%	WRP tightened	5.5x to 6.5x

Table 5: Scenario summary to May 2028. Source: Larkspur estimates.

7.2 Base case reasoning

Demand should be supported by continued workforce participation and by growth in the number of children in the 0 to 5 age group in metropolitan growth corridors. New supply is slowing, because construction costs and higher borrowing costs have reduced the number of viable greenfield projects. We expect occupancy to rise by about half a percentage point a year, reaching 80% by 2028. Margin improvement will be modest, as wage costs and rent increases absorb most of the gain in revenue.

8. Key risks and credit considerations

Risk	Indicator	Credit implication
Wage funding change	Policy announcements	Margin down about 4 points
Local oversupply	New approvals nearby	Occupancy below 70%
Regulatory breach	Rating or compliance notice	Licence and cash flow risk
Educator shortage	Vacancies, turnover	Room closures, agency costs
Acquisition integration	Ramp slower than model	Covenant pressure
Rent reviews	Lease terms	Lower cover at renewal

Table 6: Principal risks and credit implications. Source: Larkspur analysis.

8.1 Mitigants lenders commonly apply

- Monthly reporting of occupancy and enrolments by centre, with a trigger at 70%.
- Covenants tested on EBITDA with funded wage amounts shown separately.
- Independent valuations that separate property and going concern value, refreshed every two to three years.
- Restrictions on acquisitions without lender consent unless pro forma leverage is within a set limit.
- Regular review of quality ratings, compliance notices and any enforcement action.
- Lease reviews for leasehold sites, focusing on term, options and rent review mechanism.

8.2 Sector appetite

On balance, Larkspur considers the sector suitable for secured lending where the borrower is a scaled operator with diversified centres, a freehold or long lease portfolio, and leverage that allows for cover to be maintained if funded wages fell away. We are more cautious on single centre borrowers in high supply catchments and on acquisitive groups whose growth depends on a rapid ramp of acquired centres.

9. Important information

This document has been prepared by Larkspur Industry Insights for Quillwood Credit Partners as general industry research. It does not take into account the objectives, financial situation or needs of any person and is not a recommendation to enter any transaction. Estimates are based on information believed to be reliable at the date of publication, 5 May 2026, but Larkspur does not warrant their accuracy or completeness. Forecasts are subject to uncertainty and actual outcomes may differ materially. Policy settings, including the Worker Retention Payment, are determined by government and may change. This document supersedes the April 2024 outlook, which should no longer be relied upon.